Blockbuster

What really happened . . .

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When you see this article on Blockbuster, you probably imagine I will tell the worn-
story of how Netflix "disrupted" video rental stores. But that is not the true story ab
Blockbuster. If you believe that story, you will have ingested an incorrect theory. Wl
killed Blockbuster were DVDs, Sumner Redstone's maladroit deal-making, and Carl
Ichan.

After retiring from UCLA Anderson in 2017, I moved to Bend, Oregon. It is an
outdoorsy town with a river running right through it. Bend has the distinction of be
home to the last franchised Blockbuster retail store in the world. After Blockbuster'
bankruptcy in 2011, the corporate-owned stores all closed. Franchised stores lasted
bit longer, with Ken Tisher's Bend store being the last standing. Even though Tishe
computer still boots with floppy discs, the store gets five-star Google reviews and h
become an important tourist attraction.

When VCRs first appeared, people used them to record TV programs for viewing la
When the movie industry began to release titles on videotape, it charged $80-100 fo
copy. *Because of this high retail price*, video rental stores popped up, charging anywhe
from $3 to $9 to rent a film for a weekend. Many of these stores were small and
crowded. A substantial part of the business in many was pornography.

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In 1987, Wayne Huizenga bought majority ownership in Blockbuster Entertainmen Huizenga had built a waste management company from scratch to be worth $3 billi by the time he left it in 1984. With Blockbuster, he pushed the growth accelerator tc the floor. From 11 stores, it would grow to 4,000 by the time he sold it ten years late

In 1992 Huizenga had been thinking about buying a cable TV company and hired consultants to study that industry and other ways of delivering movies to homes. Tl possible futures all were high tech: digital over cable, over optical fiber, over satelli via wireless, via dense local storage, and more. He and his executive team were not excited. He recalled that "We discussed it a lot . . . . But there were so many ways it could go, and none of us wanted to get into an area where we had no expertise." [1]

Two years later, he sold Blockbuster to Viacom for $8.4 billion. The deal was one of most convoluted in history. Sumner Redstone, Chairman and CEO of Viacom, want to buy Paramount studios but couldn't match Barry Diller's QVC (home shopping network) bids. His surprise move was to merge Viacom with Blockbuster to get acc to Blockbuster's $1.25 billion cash hoard. That cash pushed through the Paramount deal for Viacom.

Huizenga's decision to sell out was based on a clear-headed diagnosis of the situati His team foresaw a range of digital futures and, rather than trying to bet correctly i game they didn't understand, they sold out. Analyst Barry Bryant said, "Wayne is getting out of the horse and buggy before the automobile hits the road." [2] Diagnosis doesn't always show the way forward you may be hoping for. But it should help clar your best option. Unfortunately, the subsequent people guiding Blockbuster were le clear-headed.

Viacom brought in executive Bill Fields from Wal-Mart Stores to run the Blockbust Entertainment Group. Field's strategy was to turn Blockbuster into a one-stop shop video rental, computer games, music, books, and similar items. But Redstone's deal making had left Viacom with a huge debt and no taste for investing more money in Blockbuster. When Fields left in disgust, Viacom stock fell by $1.6 billion in two da

By 1997-98, Blockbuster was in big trouble. The whole *rental* business had been bas on the high prices for tapes charged by the movie studios. But, by 1998, movie studi began selling videotape movies at discount prices to Walmart and Best Buy. You co buy a copy there for less than a weekend rental at Blockbuster. The mortal blow wa DVDs. Film companies initially sold them outright to retail outlets, including Blockbuster, for about $15 each. With these low prices, renting a DVD from a store was not wise for most consumers. It became easier to buy one and avoid driving to store to get one, going again to return it, and dealing with late fees. Or, you could g DVD from a no-overhead Redbox rental machine at your supermarket.

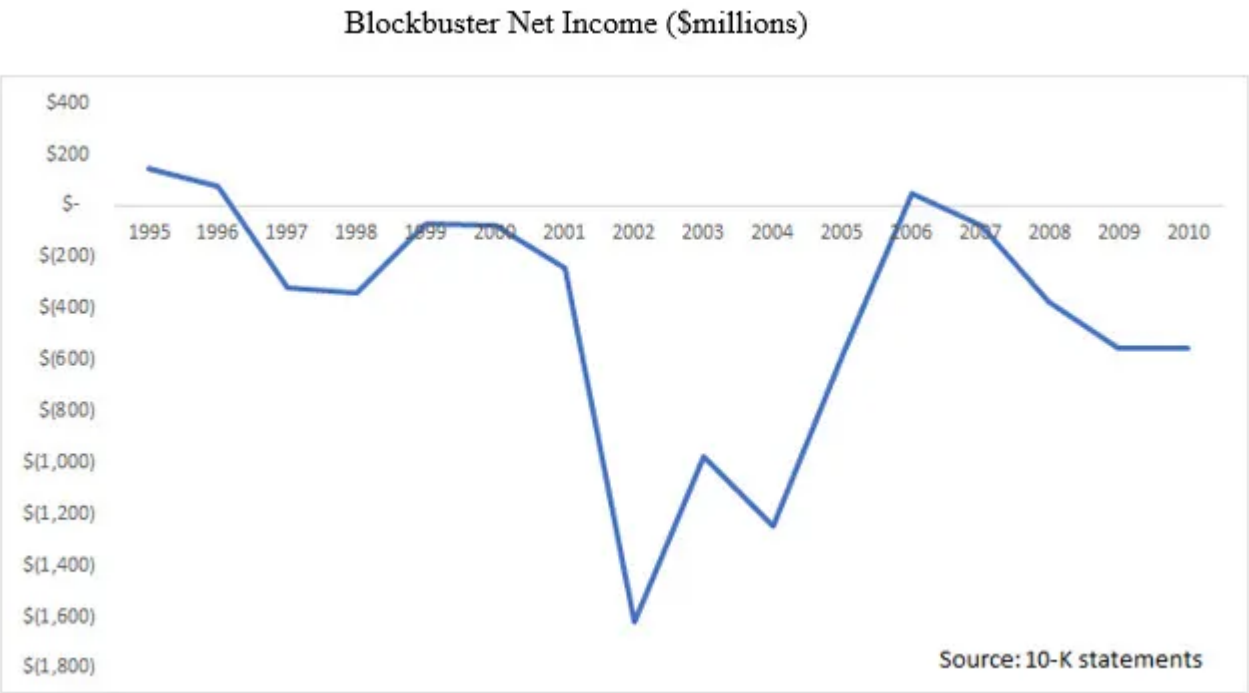
Blockbuster tried to sell DVDs outright, earning a margin of only 20 percent rather than its customary 70 percent on tape rentals. With the overhead of its many fancy stores, renting physical movies from retail stores was no longer a profitable busines The standard story is that Netflix disrupted Blockbuster. But it was DVDs, and the film industry pricing that did in the company.

Viacom spun off Blockbuster in a 2004 IPO. The deal had Blockbuster pay a special dividend to Viacom of about $1 billion. Blockbuster had to borrow $1 billion to mak that payment to Viacom. This debt would hamstring the company's ability to deal v adversity in the coming years.

Could it have adopted a better strategy than decline? There was a chance it could h built a DVD-by-mail program or used its retail space for another purpose. The bigg distraction was activist investor Carl Icahn, who invested $191 million in Blockbust and in competitor Hollywood Video. On the board of Blockbuster, he urged a takeo of Hollywood Video, an obvious conflict of interest. When his bid to do that failed, began a campaign against CEO John Antico's "unconscionable" compensation and what he called the company's "spending spree." That spending spree was the investments in a DVD rent-online system to compete with Netflix. Ichan explained Time magazine that he saw the Blockbuster retail stores as the crucial resource in t contest with Netflix. [3]

Ichan pushed the board to fire Antico and put in a new CEO, Jim Keyes, who dropp the DVD-by-mail program. Blockbuster declared bankruptcy in late 2010. Later, Ich wrote that "Blockbuster turned out to be the worst investment I ever made." [4]

Looking at the profit history of Blockbuster shows that net income was negative ev year since 1997, except for a small profit in 2006. The graph below shows this patte of losses quite vividly. This slide wasn't due to Netflix. The Netflix DVD-by-mail business's real growth began in 2003-04, well after Blockbuster's string of deep loss Undoubtedly, Netflix hastened Blockbuster's demise, but Blockbuster's business mo wasn't working in the first place. Renting a DVD out of large high-overhead stores wasn't a profitable business when one could buy that DVD at Walmart for $14. (Nic reporting by Ben Unglesbee [5] backs up this argument.) The film industry's DVD pricing, not Netflix, killed the original business strategy. Then Redstone's leaving it debt and Ichan's belief in physical stores prevented any strategic recovery.



Amazingly, Blockbuster owners and executives did not look ahead to the business' predictable demise. Huizenga correctly saw the digital future and sold it to Viacom Many businesses go through the cycle of growth, maturity, and then decline. Portab

audio tape players went through this product life cycle as did video-tube televisions Videotape rental did, and so did Netflix's DVDs by mail business. If you have a business that will predictably decline, it should not be rocket science to invest in something that could be growing. It didn't have to be home video or even entertainment. Could those retail spaces be used for something else? Could the Blockbuster brand extend to a new type of movie theater? Given that the overbuilt Blockbuster store network entranced Wall Street types, could some stores have bee sold off and the proceeds invested in the digital future?

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1 Gandel, Stephen. "How Blockbuster Failed at Failing." *Time*, October 17, 2010. http://content.time.com/time/magazine/article/0,9171,2022624-2,00.html.

2 Quoted in Ramirez, Anthony. "Blockbuster's Investing Led to Merger." *The New York Tim* January 8, 1994, p. 51.

3 Iskyan, Stansberry. "Here's a Look Back at One of Carl Icahn's Gigantic Mistakes." Busir Insider, May 3, 2016.

4 Quoted in Antioco, John. "Blockbuster's Former CEO On Sparring with an Activist Shareholder," Harvard Business Review, April 2011, p. 6.

5 Ben Unglesbee, "Who Really Killed Blockbuster," Retail Dive, Oct 7, 2019. www.retaildive.com/news/who-really-killed-blockbuster/564314/

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Olivier Burnouf Jun 20, 2022

That's absolutely fascinating.

I've read several accounts of Kodak's demise and not one agree on the root causes but that's real first time I've read an analysis of Blockbuster's failure that challenges the traditional "disruption" narrative.

There is a tendency to explain organisations' success with simple recipes (often tainted with halc effect). I wonder whether there is a similar tendency to explain failures with simplistic explanatio (digital being the favourite one)

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Nils Davis Nils's Substack Jun 15, 2023

I'd love to see a similar analysis about Nokia. The standard narrative is that "they just weren't rea the iPhone." But that seems far too simplistic, especially since they had very advanced smart phc the time the iPhone came out, and a huge amount of technology to bring to bear.

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